QUARTERLY INVESTOR REPORT

Indigo Medical Pavilion | San Diego, CA

Investment	Indigo Medical Pavilion
Quarter	4Q 2025
Report Date	April 13, 2026
Sponsor	Juniper Peak Real Estate Fund
Occupancy	95.1%

Risk Considerations

Patient parking and ADA-compliant access are provided at a ratio of 39 spaces per 1,000 square feet. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy.

Patient parking and ADA-compliant access are provided at a ratio of 33 spaces per 1,000 square feet. Projected levered IRR is 4.8% with an equity multiple of 1.24x over the hold period. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Leasing and Marketing

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Patient parking and ADA-compliant access are provided at a ratio of 4 spaces per 1,000 square feet. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 31 additional team members. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Rents average $35 per square foot modified gross and leases include tenant improvement allowances for specialized buildout.

Service requests are tracked through a work-order system with an average completion time of 28 hours. Patient parking and ADA-compliant access are provided at a ratio of 9 spaces per 1,000 square feet. The manager completes a monthly walk of the property and submits a variance report to the owner by the 33th business day. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 19 additional team members. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage.

Risk Considerations

Projected levered IRR is 7.5% with an equity multiple of 1.40x over the hold period. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Distributions to investors for the quarter were paid at an annualized rate of 5.2% on contributed capital. Rents average $35 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. The business plan contemplates a hold period of 5 years with disposition upon achievement of target returns. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

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Investment Overview

Patient parking and ADA-compliant access are provided at a ratio of 47 spaces per 1,000 square feet. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Projected levered IRR is 7.8% with an equity multiple of 1.47x over the hold period.

The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Projected levered IRR is 3.2% with an equity multiple of 1.25x over the hold period. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Rents average $35 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Management Commentary

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Rents average $35 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. The manager completes a monthly walk of the property and submits a variance report to the owner by the 6th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Rents average $35 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Business Plan Progress

Projected levered IRR is 4.9% with an equity multiple of 1.38x over the hold period. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Rents average $35 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Projected levered IRR is 11.1% with an equity multiple of 1.24x over the hold period. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Property Operations

The manager completes a monthly walk of the property and submits a variance report to the owner by the 8th business day. Patient parking and ADA-compliant access are provided at a ratio of 11 spaces per 1,000 square feet. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 2 hours.

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
ADA compliance	Site	07/06/26	Q1 2025	$900,000	$470,218	Approved
Sewer line repair	Life Safety	01/11/23	Q2 2025	$504,000	$494,997	In progress
Elevator modernization	Energy	07/23/24	Q4 2026	$633,000	$656,328	Complete
Pool resurfacing	Site	08/07/24	Q1 2027	$499,000	$76,779	In progress
Fence replacement	Site	07/29/24	Q4 2025	$443,000	$428,812	Bidding
Unit interior upgrades	Site	03/24/26	Q1 2027	$314,000	$58,467	Complete
Exterior paint	Site	07/02/23	Q3 2025	$161,000	$91,249	In progress
Parking lot resurfacing	Building	11/18/26	Q1 2025	$791,000	$609,233	Deferred
Signage / monument	Interior	11/22/23	Q2 2026	$21,000	$19,822	Bidding
Lobby renovation	Life Safety	03/10/24	Q2 2025	$540,000	$156,545	Complete
Door hardware	Life Safety	04/30/26	Q2 2026	$527,000	$82,094	Complete
HVAC replacement	Energy	12/30/26	Q2 2025	$185,000	$136,178	Bidding
Fence replacement	Building	07/21/26	Q1 2025	$889,000	$420,407	Complete
Exterior paint	Life Safety	02/22/23	Q3 2027	$310,000	$221,121	Approved
Signage / monument	Site	02/23/24	Q3 2026	$203,000	$8,055	Bidding
Security camera upgrade	Energy	09/05/25	Q2 2026	$656,000	$306,446	In progress
Fence replacement	Building	07/01/25	Q4 2026	$848,000	$589,190	Deferred
Pool resurfacing	Building	08/07/23	Q1 2025	$257,000	$161,697	Bidding
Amenity renovation	Building	07/23/23	Q1 2026	$578,000	$243,528	In progress
Unit interior upgrades	Building	06/28/23	Q4 2025	$299,000	$239,372	Deferred
Parking lot resurfacing	Life Safety	08/14/25	Q4 2025	$888,000	$602,392	Deferred
Signage / monument	Site	05/16/26	Q2 2025	$405,000	$14,320	Complete
Fence replacement	Life Safety	07/12/25	Q3 2027	$195,000	$184,294	Deferred
Pool resurfacing	Life Safety	05/18/24	Q4 2026	$166,000	$166,686	Complete
Pool resurfacing	Energy	12/25/24	Q1 2025	$165,000	$27,717	Approved
HVAC replacement	Energy	12/03/25	Q2 2026	$388,000	$279,468	Deferred
Water heater replacement	Building	05/18/23	Q4 2025	$244,000	$157,233	Approved
Exterior paint	Building	07/30/25	Q4 2027	$876,000	$382,283	Bidding
Fence replacement	Life Safety	08/25/23	Q4 2026	$526,000	$31,281	Approved
Exterior paint	Life Safety	12/03/25	Q2 2025	$644,000	$472,635	In progress
Exterior paint	Building	01/10/23	Q3 2026	$329,000	$52,394	In progress
Landscape / irrigation	Energy	11/30/23	Q3 2025	$226,000	$160,419	In progress
Exterior paint	Life Safety	02/02/25	Q2 2025	$692,000	$4,301	Complete
Roof replacement - Bldg D	Life Safety	09/08/26	Q3 2025	$485,000	$230,188	Complete
Parking lot resurfacing	Life Safety	07/11/23	Q1 2027	$459,000	$326,533	Deferred
ADA compliance	Building	09/25/23	Q1 2026	$104,000	$104,526	Approved
Elevator modernization	Building	02/16/23	Q3 2026	$9,000	$6,857	Deferred
HVAC replacement	Interior	05/23/26	Q1 2027	$660,000	$528,464	Bidding
Elevator modernization	Site	12/18/24	Q2 2026	$313,000	$104,178	In progress
Sewer line repair	Site	11/10/25	Q1 2025	$276,000	$220,205	In progress

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Financial Analysis

The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Net operating income is projected to grow at a compound annual rate of 6.4% over the hold period. The going-in capitalization rate of 7.55% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 7.4% of collected revenue and are included in operating expenses. Operating expenses totaled $446,000 or approximately 18.08 per square foot, with real estate taxes representing the largest line item. Patient parking and ADA-compliant access are provided at a ratio of 9 spaces per 1,000 square feet.

Effective gross income for the trailing period was $463,000, representing a 3.3% increase over the prior year. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Patient parking and ADA-compliant access are provided at a ratio of 8 spaces per 1,000 square feet.

Demographics and Employment

Market vacancy for comparable Medical Office product stands at 8.0%, down from 4.4% two years ago. Patient parking and ADA-compliant access are provided at a ratio of 34 spaces per 1,000 square feet. Investor demand for Medical Office assets in San Diego remains strong with recent trades at capitalization rates between 6.39% and 6.39%. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy.

Rents average $35 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Market vacancy for comparable Medical Office product stands at 9.4%, down from 4.9% two years ago. Employment growth is led by healthcare, logistics, education and professional services sectors. The San Diego Medical Office market has experienced absorption of 1900 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries.

Operating Performance

Operating expenses totaled $411,000 or approximately 33.44 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Effective gross income for the trailing period was $295,000, representing a 9.8% increase over the prior year. The going-in capitalization rate of 6.61% reflects the in-place income and the stabilized occupancy assumption.

Net operating income is projected to grow at a compound annual rate of 4.1% over the hold period. Patient parking and ADA-compliant access are provided at a ratio of 47 spaces per 1,000 square feet. Operating expenses totaled $343,000 or approximately 39.35 per square foot, with real estate taxes representing the largest line item. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy.

Demographics and Employment

Investor demand for Medical Office assets in San Diego remains strong with recent trades at capitalization rates between 8.16% and 8.16%. Rent growth in the submarket has averaged 6.6% annually over the past 4 years. Indigo Medical Pavilion is located in San Diego, CA, a market that has recorded 11.9% population growth over the last five years. The San Diego Medical Office market has experienced absorption of 900 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Rents average $35 per square foot modified gross and leases include tenant improvement allowances for specialized buildout.

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Annual Operating Budget by Account

Account	Prior Yr Actu	Prior Yr Budg	Current Budge	Variance $	Variance %	Per Unit/SF
5000 Gross Potential Rent	$255,667	$275,828	$291,075	$35,407	13.8%	$32,341.65
5010 Loss to Lease	$154,436	$155,127	$158,603	$4,167	2.7%	$17,622.59
5020 Vacancy Loss	$308,045	$316,411	$330,469	$22,424	7.3%	$36,718.78
5030 Concessions	$606,344	$592,792	$604,774	-$1,570	-0.3%	$67,197.16
5040 Bad Debt	$458,649	$470,230	$495,766	$37,118	8.1%	$55,085.16
5050 Late Fees	$278,334	$260,832	$278,671	$337	0.1%	$30,963.44
5060 Utility Reimbursements	$364,439	$371,033	$376,854	$12,415	3.4%	$41,872.67
5070 Parking Income	$256,880	$240,370	$251,916	-$4,963	-1.9%	$27,990.70
5080 Application Fees	$382,742	$402,945	$416,372	$33,631	8.8%	$46,263.61
5090 Pet Rent	$76,322	$77,011	$79,067	$2,745	3.6%	$8,785.17
5100 Laundry Income	$236,535	$218,609	$219,873	-$16,661	-7.0%	$24,430.38
5110 Cable/Internet Revenue	$94,599	$101,636	$103,022	$8,423	8.9%	$11,446.88
5120 CAM Reimbursements	$366,824	$352,234	$366,825	$1	0.0%	$40,758.38
5130 Tax Reimbursements	$288,960	$270,648	$282,480	-$6,480	-2.2%	$31,386.69
5140 Insurance Reimbursements	$414,093	$434,829	$463,265	$49,172	11.9%	$51,473.88
5150 Percentage Rent	$262,976	$258,102	$275,272	$12,296	4.7%	$30,585.81
5160 Misc. Income	$172,760	$183,247	$192,248	$19,487	11.3%	$21,360.84
5170 Payroll - Management	$130,191	$121,223	$127,097	-$3,093	-2.4%	$14,121.93
5180 Payroll - Leasing	$123,200	$128,159	$134,852	$11,653	9.5%	$14,983.57
5190 Payroll - Maintenance	$445,404	$445,178	$468,681	$23,277	5.2%	$52,075.70
5200 Payroll Taxes & Benefits	$399,599	$409,446	$436,305	$36,705	9.2%	$48,478.29
5210 Repairs - Plumbing	$540,789	$518,692	$539,147	-$1,642	-0.3%	$59,905.27
5220 Repairs - HVAC	$628,898	$637,369	$670,344	$41,445	6.6%	$74,482.63
5230 Repairs - Electrical	$538,326	$541,764	$555,719	$17,394	3.2%	$61,746.61
5240 Repairs - Appliances	$577,910	$580,382	$617,087	$39,177	6.8%	$68,565.23
5250 Painting & Decorating	$313,711	$331,817	$344,046	$30,334	9.7%	$38,227.28
5260 Flooring	$628,964	$651,274	$682,994	$54,030	8.6%	$75,888.26
5270 Make-Ready / Turnover	$570,693	$580,918	$588,603	$17,910	3.1%	$65,400.29
5280 Landscaping Contract	$285,234	$283,501	$296,704	$11,469	4.0%	$32,967.07
5290 Snow Removal	$96,581	$98,697	$100,718	$4,138	4.3%	$11,190.93
5300 Janitorial	$193,780	$200,595	$210,882	$17,103	8.8%	$23,431.38
5310 Pest Control	$384,864	$374,550	$376,580	-$8,284	-2.2%	$41,842.20
5320 Trash Removal	$458,753	$495,251	$515,725	$56,972	12.4%	$57,302.80
5330 Elevator Contract	$340,867	$347,101	$359,827	$18,959	5.6%	$39,980.74
5340 Fire & Life Safety	$410,317	$387,115	$399,931	-$10,386	-2.5%	$44,436.77
5350 Security	$240,812	$247,089	$259,785	$18,973	7.9%	$28,864.98
5360 Electricity - Common	$611,575	$603,480	$609,630	-$1,945	-0.3%	$67,736.69
5370 Gas - Common	$64,013	$66,497	$69,939	$5,926	9.3%	$7,771.01
5380 Water & Sewer	$275,592	$272,928	$276,430	$838	0.3%	$30,714.43
5390 Telephone/Internet	$301,432	$287,973	$307,106	$5,674	1.9%	$34,122.87

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Business Plan Progress

Rents average $35 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The business plan contemplates a hold period of 6 years with disposition upon achievement of target returns. Projected levered IRR is 9.2% with an equity multiple of 1.7x over the hold period.

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Rents average $35 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. The business plan contemplates a hold period of 5 years with disposition upon achievement of target returns.

Management Commentary

Collections for the period were 92.9% of billed charges, with bad debt of 6.4% of gross potential income. Patient parking and ADA-compliant access are provided at a ratio of 23 spaces per 1,000 square feet. The manager completes a monthly walk of the property and submits a variance report to the owner by the 14th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 26 additional team members.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 28th business day. Service requests are tracked through a work-order system with an average completion time of 36 hours. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Risk Considerations

Patient parking and ADA-compliant access are provided at a ratio of 43 spaces per 1,000 square feet. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Rents average $35 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Rents average $35 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Patient parking and ADA-compliant access are provided at a ratio of 46 spaces per 1,000 square feet.

Property Operations

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 96.0% of billed charges, with bad debt of 4.4% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 12th business day. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Service requests are tracked through a work-order system with an average completion time of 3 hours.

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Door hardware	Interior	01/15/24	Q3 2027	$518,000	$168,307	In progress
ADA compliance	Building	09/10/24	Q1 2025	$680,000	$202,062	Bidding
Water heater replacement	Site	02/07/25	Q2 2027	$13,000	$7,644	In progress
Door hardware	Energy	04/07/26	Q2 2026	$429,000	$370,979	Complete
Storefront glazing	Energy	04/26/26	Q3 2027	$23,000	$11,837	Deferred
Sewer line repair	Building	08/14/23	Q4 2026	$43,000	$40,118	Bidding
ADA compliance	Interior	04/05/25	Q2 2025	$292,000	$302,407	Approved
Parking lot resurfacing	Energy	12/18/26	Q3 2027	$552,000	$234,685	Bidding
Water heater replacement	Site	05/11/23	Q4 2025	$832,000	$205,463	Approved
HVAC replacement	Energy	11/16/23	Q3 2025	$156,000	$135,759	Complete
Parking lot resurfacing	Site	03/14/23	Q2 2026	$473,000	$482,079	Bidding
Signage / monument	Energy	05/27/25	Q2 2027	$103,000	$35,719	Deferred
ADA compliance	Building	10/02/24	Q4 2027	$611,000	$189,421	Approved
Lobby renovation	Site	10/10/25	Q4 2026	$182,000	$51,538	Bidding
Elevator modernization	Energy	05/19/24	Q4 2025	$25,000	$25,102	Complete
Lobby renovation	Energy	12/16/23	Q4 2027	$831,000	$707,669	In progress
Roof replacement - Bldg C	Building	05/10/25	Q4 2027	$769,000	$672,239	Approved
Parking lot resurfacing	Energy	09/17/25	Q3 2026	$459,000	$372,695	Approved
Fence replacement	Building	07/18/26	Q1 2027	$349,000	$46,768	Approved
Pool resurfacing	Site	03/29/24	Q4 2027	$724,000	$381,724	In progress
ADA compliance	Life Safety	04/03/24	Q2 2026	$199,000	$52,240	In progress
Door hardware	Interior	08/11/25	Q1 2027	$636,000	$528,733	Approved
Parking lot resurfacing	Interior	05/23/25	Q2 2025	$752,000	$686,412	Bidding
Water heater replacement	Building	06/24/23	Q4 2025	$17,000	$792	Deferred
Exterior paint	Energy	11/10/24	Q2 2025	$377,000	$231,934	Approved
Fence replacement	Building	06/30/26	Q3 2025	$14,000	$8,630	In progress
Roof replacement - Bldg C	Building	08/03/26	Q3 2026	$884,000	$400,942	Deferred
Pool resurfacing	Building	05/10/24	Q3 2026	$183,000	$91,243	Approved
Fire alarm panel upgrade	Site	06/04/26	Q2 2026	$207,000	$136,702	Deferred
Lobby renovation	Life Safety	06/29/25	Q2 2025	$141,000	$75,957	Approved
Door hardware	Building	01/22/26	Q3 2025	$828,000	$156,490	Bidding
Roof replacement - Bldg D	Life Safety	06/03/25	Q2 2025	$840,000	$94,201	Bidding
Water heater replacement	Life Safety	05/15/25	Q1 2026	$154,000	$78,615	Complete
HVAC replacement	Site	04/19/26	Q4 2026	$60,000	$47,378	Approved
Parking lot resurfacing	Life Safety	09/27/26	Q3 2027	$495,000	$299,701	Deferred
Security camera upgrade	Interior	08/12/24	Q1 2025	$429,000	$301,240	Deferred
Unit interior upgrades	Life Safety	12/12/24	Q3 2026	$502,000	$201,863	Bidding
Roof replacement - Bldg D	Life Safety	10/08/24	Q3 2026	$516,000	$452,614	In progress
Fence replacement	Site	02/25/23	Q1 2027	$117,000	$47,146	Bidding
Exterior paint	Building	05/28/23	Q3 2026	$440,000	$65,996	Bidding
Landscape / irrigation	Life Safety	02/15/24	Q3 2026	$684,000	$137,471	Bidding
Water heater replacement	Life Safety	01/12/24	Q2 2025	$259,000	$90,784	In progress
Landscape / irrigation	Life Safety	01/02/24	Q4 2025	$614,000	$238,622	Complete

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Income and Expense Review

Patient parking and ADA-compliant access are provided at a ratio of 38 spaces per 1,000 square feet. The going-in capitalization rate of 8.13% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Management fees are calculated at 7.7% of collected revenue and are included in operating expenses.

Operating expenses totaled $75,000 or approximately 10.18 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 7.25x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 7.81% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 7.2% of collected revenue and are included in operating expenses.

Market Overview

The San Diego Medical Office market has experienced absorption of 4700 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Market vacancy for comparable Medical Office product stands at 6.7%, down from 3.9% two years ago. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Rent growth in the submarket has averaged 4.8% annually over the past 3 years.

Rents average $35 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Indigo Medical Pavilion is located in San Diego, CA, a market that has recorded 10.9% population growth over the last five years. The San Diego Medical Office market has experienced absorption of 2200 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage.

Financial Analysis

Operating expenses totaled $249,000 or approximately 36.15 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 5.14% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $413,000, representing a 5.3% increase over the prior year. Patient parking and ADA-compliant access are provided at a ratio of 9 spaces per 1,000 square feet. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage.

Rents average $35 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Operating expenses totaled $25,000 or approximately 9.82 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 4.9% over the hold period. Debt service coverage ratio was 6.82x on a trailing basis against a covenant minimum of 1.20x. Patient parking and ADA-compliant access are provided at a ratio of 48 spaces per 1,000 square feet. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage.

Demographics and Employment

Rents average $35 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. The San Diego Medical Office market has experienced absorption of 4500 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Patient parking and ADA-compliant access are provided at a ratio of 11 spaces per 1,000 square feet. Market vacancy for comparable Medical Office product stands at 6.7%, down from 6.7% two years ago.

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Annual Operating Budget by Account

Account	Prior Yr Actu	Prior Yr Budg	Current Budge	Variance $	Variance %	Per Unit/SF
5420 Office Supplies	$566,966	$539,056	$560,738	-$6,228	-1.1%	$62,304.17
5430 Legal & Professional	$166,032	$158,807	$162,824	-$3,208	-1.9%	$18,091.60
5440 Accounting & Audit	$297,328	$308,196	$315,826	$18,498	6.2%	$35,091.79
5450 Licenses & Permits	$326,844	$323,043	$338,780	$11,935	3.7%	$37,642.19
5460 Management Fee	$619,652	$635,700	$648,535	$28,884	4.7%	$72,059.47
5470 Property Insurance	$200,436	$201,308	$212,361	$11,925	5.9%	$23,595.61
5480 Real Estate Taxes	$461,538	$463,310	$485,943	$24,405	5.3%	$53,993.65
5490 Asset Management Fee	$624,047	$654,034	$678,495	$54,448	8.7%	$75,388.32
5500 Replacement Reserves	$323,572	$308,187	$321,349	-$2,223	-0.7%	$35,705.45
5510 Roof Repairs	$35,488	$36,278	$38,669	$3,181	9.0%	$4,296.60
5520 Parking Lot Repairs	$44,331	$43,331	$44,434	$103	0.2%	$4,937.13
5530 Signage	$136,313	$141,640	$149,243	$12,930	9.5%	$16,582.59
5540 Tenant Improvements	$492,275	$514,456	$550,213	$57,938	11.8%	$61,134.81
5550 Leasing Commissions	$386,382	$395,304	$397,662	$11,280	2.9%	$44,184.64
5000 Gross Potential Rent	$260,622	$255,120	$255,437	-$5,185	-2.0%	$28,381.90
5010 Loss to Lease	$597,935	$596,735	$634,044	$36,110	6.0%	$70,449.38
5020 Vacancy Loss	$533,494	$496,927	$509,198	-$24,295	-4.6%	$56,577.60
5030 Concessions	$281,975	$303,650	$304,556	$22,580	8.0%	$33,839.52
5040 Bad Debt	$414,567	$382,907	$390,518	-$24,049	-5.8%	$43,390.91
5050 Late Fees	$211,599	$220,571	$231,696	$20,097	9.5%	$25,743.98
5060 Utility Reimbursements	$403,205	$389,672	$399,536	-$3,669	-0.9%	$44,392.87
5070 Parking Income	$272,600	$277,397	$283,189	$10,589	3.9%	$31,465.43
5080 Application Fees	$192,518	$200,131	$207,286	$14,768	7.7%	$23,031.78
5090 Pet Rent	$247,261	$234,878	$239,936	-$7,325	-3.0%	$26,659.61
5100 Laundry Income	$494,416	$525,353	$548,500	$54,084	10.9%	$60,944.48
5110 Cable/Internet Revenue	$359,818	$345,354	$346,807	-$13,011	-3.6%	$38,534.14
5120 CAM Reimbursements	$264,000	$271,243	$285,493	$21,493	8.1%	$31,721.48
5130 Tax Reimbursements	$570,556	$553,857	$574,960	$4,405	0.8%	$63,884.50
5140 Insurance Reimbursements	$402,890	$386,708	$398,461	-$4,429	-1.1%	$44,273.43
5150 Percentage Rent	$617,758	$586,860	$616,697	-$1,062	-0.2%	$68,521.85
5160 Misc. Income	$475,193	$438,265	$466,762	-$8,431	-1.8%	$51,862.45
5170 Payroll - Management	$596,110	$634,147	$638,176	$42,066	7.1%	$70,908.45
5180 Payroll - Leasing	$277,202	$271,136	$280,211	$3,009	1.1%	$31,134.52
5190 Payroll - Maintenance	$460,983	$463,979	$477,599	$16,616	3.6%	$53,066.55
5200 Payroll Taxes & Benefits	$498,265	$490,700	$493,413	-$4,851	-1.0%	$54,823.70
5210 Repairs - Plumbing	$415,616	$428,044	$436,041	$20,425	4.9%	$48,448.95
5220 Repairs - HVAC	$366,567	$376,755	$399,125	$32,559	8.9%	$44,347.27
5230 Repairs - Electrical	$181,114	$172,783	$172,909	-$8,205	-4.5%	$19,212.15
5240 Repairs - Appliances	$258,534	$276,725	$281,855	$23,321	9.0%	$31,317.21
5250 Painting & Decorating	$301,633	$290,132	$296,672	-$4,961	-1.6%	$32,963.55
5260 Flooring	$410,524	$416,166	$430,231	$19,707	4.8%	$47,803.47
5270 Make-Ready / Turnover	$332,800	$307,703	$311,322	-$21,479	-6.5%	$34,591.31

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Investor Distributions

The business plan contemplates a hold period of 5 years with disposition upon achievement of target returns. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Rents average $35 per square foot modified gross and leases include tenant improvement allowances for specialized buildout.

The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Distributions to investors for the quarter were paid at an annualized rate of 7.0% on contributed capital. Patient parking and ADA-compliant access are provided at a ratio of 25 spaces per 1,000 square feet. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Leasing and Marketing

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Rents average $35 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. The manager completes a monthly walk of the property and submits a variance report to the owner by the 16th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 12 additional team members.

The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. The manager completes a monthly walk of the property and submits a variance report to the owner by the 41th business day. Patient parking and ADA-compliant access are provided at a ratio of 40 spaces per 1,000 square feet. Collections for the period were 95.2% of billed charges, with bad debt of 4.6% of gross potential income.

Investor Distributions

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Projected levered IRR is 2.9% with an equity multiple of 1.47x over the hold period. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Distributions to investors for the quarter were paid at an annualized rate of 7.1% on contributed capital.

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Patient parking and ADA-compliant access are provided at a ratio of 8 spaces per 1,000 square feet. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Rents average $35 per square foot modified gross and leases include tenant improvement allowances for specialized buildout.

Leasing and Marketing

Service requests are tracked through a work-order system with an average completion time of 3 hours. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Patient parking and ADA-compliant access are provided at a ratio of 25 spaces per 1,000 square feet. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy.

Patient parking and ADA-compliant access are provided at a ratio of 39 spaces per 1,000 square feet. Rents average $35 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 38 additional team members.

Investment Overview

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Sewer line repair	Energy	05/26/24	Q2 2025	$422,000	$272,068	Bidding
Water heater replacement	Life Safety	12/01/26	Q3 2025	$91,000	$62,410	Deferred
Parking lot resurfacing	Interior	03/13/23	Q4 2027	$878,000	$666,931	Bidding
HVAC replacement	Site	07/29/23	Q2 2027	$454,000	$431,526	Complete
Amenity renovation	Interior	01/16/25	Q4 2027	$750,000	$396,279	Deferred
Water heater replacement	Building	09/07/24	Q3 2027	$180,000	$82,003	Bidding
Lobby renovation	Building	03/11/24	Q3 2025	$432,000	$357,949	In progress
Fire alarm panel upgrade	Energy	12/03/24	Q4 2027	$735,000	$71,905	Bidding
HVAC replacement	Interior	10/22/25	Q2 2027	$300,000	$297,559	Deferred
Fire alarm panel upgrade	Building	12/06/25	Q3 2027	$865,000	$700,814	Approved
Lobby renovation	Building	06/11/25	Q1 2026	$105,000	$35,526	In progress
LED lighting retrofit	Site	07/23/25	Q3 2026	$778,000	$603,186	Deferred
Parking lot resurfacing	Building	05/19/26	Q2 2025	$470,000	$313,165	In progress
Signage / monument	Life Safety	03/07/26	Q3 2025	$516,000	$351,446	Complete
Pool resurfacing	Building	08/20/24	Q1 2026	$840,000	$486,740	Bidding
Pool resurfacing	Energy	07/21/26	Q4 2027	$372,000	$147,614	Approved
Exterior paint	Site	03/15/26	Q3 2027	$23,000	$15,283	Approved
Exterior paint	Interior	06/09/24	Q1 2026	$886,000	$70,803	Bidding
Landscape / irrigation	Life Safety	01/19/24	Q4 2026	$530,000	$142,857	Deferred
LED lighting retrofit	Energy	02/24/25	Q3 2027	$773,000	$273,127	Approved
Fence replacement	Site	02/24/26	Q2 2026	$809,000	$608,135	Bidding
Exterior paint	Site	12/10/23	Q3 2026	$635,000	$642,865	Complete
Fence replacement	Building	06/12/25	Q1 2027	$371,000	$350,656	Complete
Fence replacement	Building	08/29/24	Q4 2026	$694,000	$4,149	Deferred
Amenity renovation	Life Safety	12/05/23	Q4 2025	$711,000	$236,910	Approved
Lobby renovation	Building	08/01/25	Q2 2026	$361,000	$370,143	Complete
Lobby renovation	Interior	09/11/23	Q4 2026	$517,000	$183,139	In progress
Fence replacement	Site	09/14/23	Q4 2025	$499,000	$77,852	Approved
Storefront glazing	Interior	05/15/26	Q3 2027	$29,000	$17,074	Bidding
Unit interior upgrades	Building	10/09/23	Q1 2025	$889,000	$73,109	Approved
Unit interior upgrades	Interior	10/07/24	Q1 2025	$796,000	$603,890	Approved
Landscape / irrigation	Interior	04/30/24	Q3 2027	$88,000	$7,364	In progress
Landscape / irrigation	Energy	06/28/26	Q4 2027	$203,000	$29,175	In progress
Exterior paint	Building	04/28/26	Q3 2027	$186,000	$175,953	Approved
Security camera upgrade	Life Safety	07/27/25	Q1 2025	$450,000	$241,058	Deferred
Lobby renovation	Energy	04/12/25	Q1 2027	$258,000	$218,319	Complete
Elevator modernization	Life Safety	02/27/26	Q1 2027	$156,000	$17,853	Approved
HVAC replacement	Interior	10/05/24	Q4 2025	$867,000	$336,867	Complete
LED lighting retrofit	Site	11/16/26	Q1 2027	$506,000	$283,690	Deferred
Pool resurfacing	Interior	06/22/23	Q4 2025	$879,000	$203,289	Complete
Elevator modernization	Energy	01/13/23	Q2 2026	$857,000	$803,968	Deferred
Parking lot resurfacing	Life Safety	02/06/25	Q3 2025	$710,000	$527,595	Approved

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Disclaimer and Confidentiality

Time is of the essence with respect to each and every provision of this instrument. Each party represents that it has full power and authority to enter into and perform its obligations hereunder. If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought. This document relates solely to Indigo Medical Pavilion and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of CA. All notices required or permitted hereunder shall be in writing and delivered by certified mail, nationally recognized overnight courier or electronic mail with confirmation of receipt. No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought. Each party represents that it has full power and authority to enter into and perform its obligations hereunder. This document relates solely to Indigo Medical Pavilion and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of CA. This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. Time is of the essence with respect to each and every provision of this instrument. If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. This document relates solely to Indigo Medical Pavilion and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

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The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought. Time is of the essence with respect to each and every provision of this instrument. This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. This document relates solely to Indigo Medical Pavilion and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

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